



HIGH-LEVEL SUMMARY TECHNICAL ASSISTANCE REPORT

THE GAMBIA

Enhancing Property Taxation

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The *High-Level Summary Technical Assistance Report* series provides high-level summaries of the assistance provided to IMF capacity development recipients, describing the high-level objectives, findings, and recommendations.

ABSTRACT: This technical assistance (TA) report responds to The Gambia's request for support in enhancing its property tax system, a priority embedded in the Domestic Revenue Mobilization Strategy (DRMS) and the National Land Policy (NLP). The mission identified significant untapped revenue potential in property taxation, particularly recurrent property taxes (RPTs) collected by Local Government Areas (LGAs), which are currently underperforming due to outdated valuation rolls, under-coverage, and weak enforcement, as well as design shortcomings. The report recommends a comprehensive reform strategy that balances short-term administrative improvements with medium-to-long-term legislative and technological modernization, including the rollout of a Land Information System (LIS). Key reforms include strengthening RPTs, especially through improved valuation and property coverage, introducing a stand-alone Property Transfer Tax (PTT), and addressing enforcement weaknesses. These measures aim to improve revenue mobilization, equity, and real property market efficiency while advancing fiscal decentralization.

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The contents of this document constitute a high-level summary of technical advice provided by the staff of the International Monetary Fund (IMF) to the authorities of The Gambia (the "CD recipient") in response to their request for capacity development. Unless the CD recipient specifically objects within 30 business days of its transmittal, the IMF will publish this high-level summary on IMF.org (see [Staff Operational Guidance on the Dissemination of Capacity Development Information](#)).

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Background

The International Monetary Fund's (IMF) Fiscal Affairs Department (FAD) provided technical assistance (TA) to The Gambia in February 2026 at the request of the Ministry of Finance and Economic Affairs (MoFEA). The mission was part of a broader Capacity Development (CD) effort to support the country's Domestic Revenue Mobilization Strategy (DRMS) for 2026–2030 and the recently adopted National Land Policy (NLP) for 2026–2035. These frameworks emphasize the critical role of property taxation in mobilizing domestic resources, especially given the rapid expansion of The Gambia's real estate market and urbanization pressures.

Improving property taxation is critical for The Gambia's fiscal sustainability and equitable development. The country's limited natural resources place land and real estate at the center of its wealth and revenue base. However, current property tax revenues remain low relative to the sector's economic significance, reflecting systemic weaknesses in valuation, coverage, enforcement, and legal frameworks. The TA mission aimed to provide a blueprint for reform that would help The Gambia harness the full potential of its property tax system while supporting broader social and regulatory objectives.

The TA mission focused on reviewing the design and administration of RPTs ("property rates") collected by Local Government Areas (LGAs) and property transfer taxes (PTTs) currently implemented through stamp duties (SDs). The mission's objective was to assess revenue potential, identify structural and administrative constraints, and provide actionable recommendations to enhance the efficiency, equity, and sustainability of property taxation. This work complements ongoing reforms in other tax areas such as Value-Added Tax (VAT) modernization and rental income taxation and aligns with the government's efforts to modernize land governance, including via the planned implementation of a Land Information System (LIS).

Summary of Findings

The mission found that The Gambia's property tax system is characterized by significant underperformance and inefficiencies, despite the increase in land value, the growing real estate market and urban expansion. Property-related taxes collected by the central government, including SD, capital gains tax (CGT), and rental income tax (RIT), contribute only about 0.2 percent of GDP, while RPTs collected by LGAs add roughly 0.15 percent, totaling approximately 0.3 percent of GDP. This is low compared to international benchmarks. The mission's revenue potential modeling suggests that, under current tax rates, The Gambia could raise up to 0.9 percent of GDP from RPTs alone, indicating a potential revenue gap of about 0.75 percent of GDP. This gap primarily stems from under-coverage of taxable properties, outdated and fragmented valuation systems, weak enforcement, and design shortcomings that fail to capture new real estate developments such as condominiums.

The legal and institutional framework governing property taxation is fragmented and outdated. Valuation rolls have not been comprehensively updated since 2005, and LGAs often rely on simplified or flat-rate valuation methods that do not reflect current market values. The legislation does not adequately address the taxation of multi-unit developments or mixed-use properties, leading to inequities and revenue losses. Enforcement mechanisms are inconsistent across LGAs, with billing often linked to property owners rather than properties themselves, complicating collection efforts especially for absentee owners, as well

as rented, or vacant properties. Administrative capacity varies widely, with some LGAs employing digital tools and Geographic Information Systems (GIS), while others relying on manual processes and limited data integration.

The mission also identified potential benefits and challenges of introducing a tax on vacant land, as envisaged in the NLP. While such a tax could discourage land banking and hoarding, its effectiveness depends on sound design, clear definitions, reliable valuation, enforcement capacity, and coordination with existing land-related taxes. Given current administrative and legal constraints, this reform should be embedded in current property taxation legislation and best approached as a medium-to-long-term objective, starting with pilot programs in urban and peri-urban areas.

The current SD, implemented under the 1931 Stamp Act, is inadequate to comprehensively capture all property transfers. It taxes selected legal documents rather than property transfer events, leading to base erosion and inequities. The tax rate of 2 percent on declared transaction values is appropriate, but revenue collections remain low due to a narrow base and underreporting. The absence of a comprehensive PTT framework limits the government's ability to capture revenue from all forms of property transfers, including customary land transfers, bequests, and donations.

Overall, the mission emphasized the need for a two-pronged reform approach: immediate administrative improvements within the existing legal framework, such as updating valuation rolls, improving property registration and enforcement, and integrating GIS data; alongside the development of a new, consolidated legal framework aligned with DRMS and NLP priorities to modernize property tax design, valuation, and enforcement. The rollout of the LIS will be a critical enabler for medium- and long-term reforms.

Summary of Recommendations

The mission recommends that The Gambia undertake a comprehensive property tax reform that prioritizes strengthening recurrent property taxation while also modernizing property transfer taxes and addressing vacant land taxation. The reform should balance revenue mobilization with broader social and regulatory objectives, including equity, formalization of property ownership, market liquidity, improved public services and housing affordability.

Key recommendations include facilitating the approval of annual revisions to ad-valorem property tax rates to reflect inflation and fiscal needs, and empowering LGAs to register properties for taxation without requiring formal proof of ownership initially, thereby expanding coverage. Enforcement should focus on the property itself, with clear identification of responsible parties for tax payment, including tenants or agents where appropriate. The adoption and nationwide deployment of GIS and affordable digital property administration systems integrated with e-payment platforms should be supported to improve data accuracy, billing, collection, and enforcement efficiency.

Legislative reforms are essential to harmonize and consolidate valuation provisions, introduce explicit apportionment rules for mixed-use properties, recognize individual apartment units as separately taxable, and clarify penalty structures for enforcement. The authorities should consider piloting and gradually

implementing a tax on vacant land held for speculative purposes, with clear definitions, valuation methods, safeguards for vulnerable taxpayers, and strong enforcement mechanisms.

Regarding property transfer taxation, the mission advises adopting a stand-alone PTT that taxes the transfer event rather than legal documents, broadening the tax base and ensuring equitable treatment of all transfer forms. The tax rate should be set between 2 and 3 percent, and reduced in the medium term once the RPT has been strengthened. Robust anti-avoidance rules and enhanced collaboration among the Gambia Revenue Authority, Ministry of Lands, Regional Governments and Religious Affairs, Ministry of Justice, and LGAs are critical to ensure compliance and enforcement.